EABL F12 Full Year Results
Investor Briefing

Charles Muchene, Group Chairman
Devlin Hainsworth, Group Managing Director
Tracey Barnes, Group Finance Director

24th August 2012

Outline of the Full Year Results Briefing

• Introduction	Charles Muchene
• F12 Full Year Review	Devlin Hainsworth
• Financial Performance	Tracey Barnes
• Outlook and Summary	Devlin Hainsworth
• Q&A	

Introduction

Charles Muchene,
Chairman




F12 Full Year Review

Devlin Hainsworth,
Group Managing Director & CEO

EABL is well-positioned to win in Eastern Africa

Vision Statement

EABL will be the most celebrated business in every market in Eastern Africa

- History in this region since 1922
- Brands across Total Beverage Alcohol covering all consumer price points
- Commitment to significant investment across our business to deliver long-term growth across the region
- Strong values:
  - Talent development
  - Having a positive impact in the communities in which we operate
  - Role modelling great governance and ethical standards

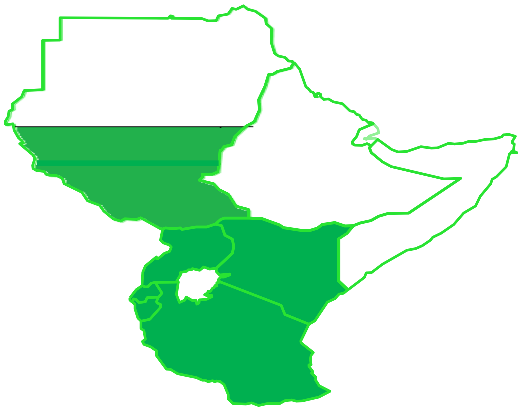
We have a clear strategy and continue to invest behind it

Strategic Objectives

Winning in Beer

Spirits Transformation

Geographic Expansion



Enablers

Supply

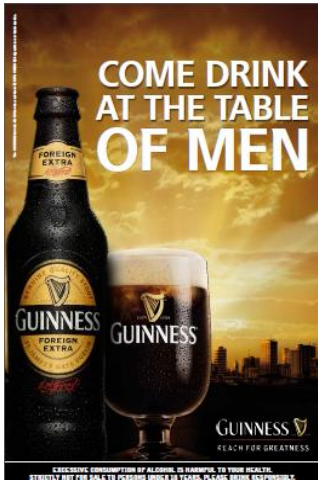
Route to Market

Winning Organisation

We have made significant investments behind Winning in Beer

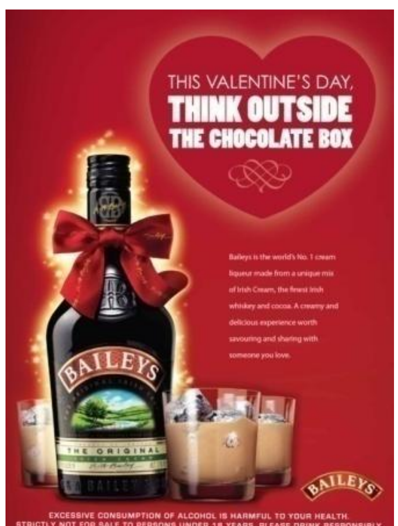
- Flagship brands in key markets
- 3 Innovation launches:
  - Tusker Lite, Pilsner Ice, Windhoek
- 2 major brand renovations:
  - Premium Serengeti Lager, Pilsner
- Market-leading brand campaigns
- Emphasis on digital

Tusker +17%
Guinness +23%
Beer Net Sales +21%



F12 compared to F11 (NB compares 12 months of Tanzania sales in F12 vs 8 in F11)

We have made great progress on Spirits Transformation



- Market-leading brands across key segments
- 3 major brand renovations:
  - Richot, Waragi Gin, Smirnoff
- Increased A&P
- Increased salesforce capability and focus

Johnnie Walker +74%
Richot +40%
Smirnoff +55%
Spirits Net Sales +47%

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We have invested in Geographic Expansion

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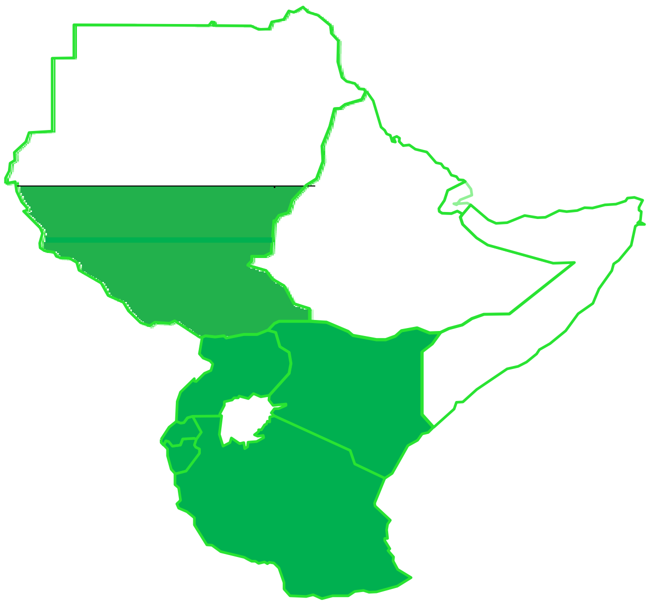

- Pan-regional brand activity
    - Roll-out of Senator
    - Tusker Project Fame 5
    - Guinness
- Small SKUs of Premium Spirits
- Increased distributor and sales network

Uganda Net Sales +38%
Tanzania Net Sales +76%
EABLi Net Sales +30%

We have made major investments in our Supply base

- Efficiency, quality and availability
- Capex investment
    - Moshi Brewery
    - Uganda Mash Filter
    - Kenya Canning Line
- Cost control
- Local sourcing

We continue to optimise our Route to Market

- Increased outlet coverage of 5% over the year
- Salesforce headcount +12%
- Spirits distribution investments
- Rolled out tools for our customers:
  - Platform for Growth
  - Distributor Management System
  - Master Bartender Academy

Building a Winning Organisation is our third Enabler

- Talent initiatives
  - Early Career Programme
  - Growing Leaders Programme
- Reputation initiatives
  - Water of Life
  - Responsible Drinking
  - Skills for Life
  - Environment

We have delivered a strong set of results across the P&L

F12 FY vs F11

Net Sales	+24%
Gross Profit	+22%
Selling Costs (incl A&P)	+31%
Operating Profit	+21%

F12 Full Year Financial Update

Tracey Barnes,
Group Finance Director

EABL Group Consolidated Income Statement

Financial Report for the year ended 30 June 2012 EABL Consolidated Income Statement	30-Jun-2012 Kshs'000	30-Jun-2011 Kshs'000	Growth %
Revenue	**55,522,166**	**44,895,037**	**24%**
Cost of sales	(28,657,047)	(22,828,144)	26%
Gross profit	**26,865,119**	**22,066,893**	**22%**
Selling costs	(4,588,896)	(3,491,554)	31%
Administrative expenses	(7,450,204)	(6,474,500)	15%
Other Income and Expenses	150,869	320,673	-53%
Operating Profit	**14,976,888**	**12,421,512**	**21%**

- Strong Net Sales performance seen in first half continued into second half
- Net Sales growth supported by mix into spirits and selected price rises
- Beer Net Sales +21%
- Spirits Net Sales +47%

F12 compared to F11 (NB compares 12 months of Tanzania sales in F12 vs 8 in F11)

We have delivered strong sales growth across our portfolio

We have also delivered strong sales growth across the region

Net Sales growth versus last year

Kenya	+16%
Uganda	+38%
EABLi	+30%
Tanzania	+76%

F12 compared to F11 (NB compares 12 months of Tanzania sales in F12 vs 8 in F11)

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- Cost of Sales (COGS) growth ahead of NSV growth
  - Inflation and fx shocks seen in the first half
- COGS mitigation initiatives
  - Local sourcing of sorghum
  - Local production of Guinness, Tusker Malt Lager and Senator in Tanzania
  - Manufacturing Excellence Programmes to drive efficiencies

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Net finance costs - operating items	(918,928)	(162,523)	465%
Profit before exceptional Items	**14,057,960**	**12,258,989**	**15%**
Net Finance Costs - KBL/SBL Acquisition	(2,451,250)	-	
Other Income - TBL Share Gain	3,646,339	-	
Profit before income tax	**15,253,049**	**12,258,989**	**24%**
Income tax expense	(4,066,936)	(3,235,329)	26%
Profit for the year	**11,186,113**	**9,023,660**	**24%**
Non controlling interest	(542,526)	(1,660,985)	-67%
Profit attributable to Equity holders of the Company	**10,643,587**	**7,362,675**	**45%**

Proposed dividends

Proposed Dividends - Kshs	
Interim Dividend	2.50
Final Dividend	6.25
Total Dividend	8.75

Outlook & Summary

Devlin Hainsworth
Group Managing Director & CEO



As we look forward our key priorities will be

- Invest to win share of beer across the region
- Accelerate topline net sales growth ahead of the market through Spirits and Innovation
  - Premiumisation
  - Female Opportunity
  - Emerging sector
- Increase Supply and Route to Market availability and efficiencies
- Reinforce our winning culture

We continue to feel positive about the future of EABL

- Attractive economic fundamentals
- Consumer trends in our favour
- EABL well positioned to win

Q & A Session

Thank You


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JOHNNIE WALKER
BLACK LABEL
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TUSKER
FINEST QUALITY LAGER


BAILEY
The
ORIGINA
IRISH

GUINNESS